STIVEN CATALYST

FIRST SERIES · OCTOBER 2026

MANAGEMENT REVIEW

Management without theatre.



KPIS

THE BALANCED SCORECARD AFTER 30 YEARS

Where the scorecard came from, how widely it spread, what research says about its effect, why the financial numbers tend to win, and a card for a scorecard on one page.

66% of 1,221 executives worldwide said their company used the Balanced Scorecard.

BAIN, 2007

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Few management tools have lasted as long as the Balanced Scorecard, and No. 2 borrowed its idea of leading and lagging measures. Three decades of use have taught something: where it helps, where it fails, and how to tell the difference in your own operation.

Robert Kaplan and David Norton built the scorecard from a 1990 study with a dozen companies. In Bain's 2007 survey, two-thirds of the executives said their company used it. The research is mixed. In one bank the branches that introduced it did better; other studies show people judging mostly by the financial numbers, and raise doubts about the links between the four perspectives.

Stiven Janaqi EDITOR · STIVEN CATALYST

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HOW TO READ THIS ISSUE

Figure
Every figure has its source and year at the foot of its page.

Our reading
Where the editors interpret rather than the research, it says so.

Practice
The steps and the card are proposals to try, not research results.

COVER STORY

A study with a dozen companies

In 1990 the Nolan Norton Institute, the research arm of KPMG, ran a one-year study called “Measuring Performance in the Organization of the Future”. David Norton led it; Robert Kaplan was its academic adviser.

Representatives of about a dozen companies, from heavy industry to high technology, met every two months. At one meeting Art Schneiderman of Analog Devices presented the company's “Corporate Scorecard”, which set measures of delivery times and continuous improvement beside the financial ones. The discussions produced a scorecard with four perspectives: financial, customer, internal processes, and innovation and learning.

1990
A dozen companies meet every two months.

1992
The first article in Harvard Business Review.

2000
The strategy map links the objectives.

2008
The Execution Premium: from strategy to operations.

After thousands of private, public and non-profit organisations had adopted it, Kaplan writes, he and Norton widened the scorecard into a tool for describing, communicating and carrying out strategy.

OUR READING

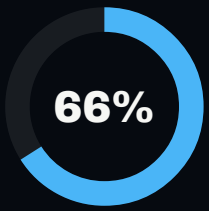
The scorecard began as a way to measure and became a way to manage strategy. Any team using one should first ask which of the two it has.

Sources: Robert S. Kaplan, Harvard Business School, 2010; Robert S. Kaplan & David P. Norton, Harvard Business Review, 1992

THE NUMBERS

Widely used, mixed evidence

Every few years Bain & Company asks executives which management tools they use. Its 2007 survey covered 1,221 executives worldwide.



of the executives said their company used the Balanced Scorecard.

Whether it works is another question. In one bank, Davis and Albright compared branches that introduced the scorecard with branches that did not, two years before and after, on the financial measure that set bonuses in both. The branches with the scorecard did better.

Thirty years on, Alex Tawse and Pooya Tabesh find the evidence on its effect on company performance mixed. They describe a paradox: a tool meant to help carry out strategy works only if it is itself carried out well.

OUR READING

Popularity shows how many companies tried it, and says nothing about whether it worked for them. The bank study, besides, covers a single bank.

Sources: Darrell Rigby & Barbara Bilodeau, Bain & Company, 2007; S. Davis & T. Albright, Management Accounting Research, 2004 (via Abstract and summaries); Alex Tawse & Pooya Tabesh, Business Horizons, 2023 (via Abstract at RePEc)

THE MODEL

The strategy map

In 2000 Kaplan and Norton added the strategy map: one page on which the objectives of the four perspectives are linked by cause and effect, from what people learn to what the customer sees and what the business earns.

01	02	03	04
Learning and growth	**Internal processes**	**Customer**	**Financial**
Skills, information, the way of working.	What the operation must do well.	What the customer gets and notices.	Revenue, cost, return.

HYPOTHETICAL EXAMPLE, A WAREHOUSE

Learning	Every picker trained on the new scanner by March
Process	Picking errors below 0.5%
Customer	Complete orders 99% of the time
Financial	Cost of returns down by a fifth

Each line bets that the line above drives the one below. Objectives and numbers are made up.

OUR READING

A strategy map is a hypothesis, not a fact. Its arrows are worth testing against your own data.

Source: Robert S. Kaplan & David P. Norton, Harvard Business Review, 2000

In 1992 the fourth perspective was called innovation and learning; later texts call it learning and growth.

More in the essay KPIs the team trusts

WHAT GOES WRONG

Why the financial numbers win

Christopher Ittner, David Larcker and Marshall Meyer followed a bank that tied bonuses to a scorecard. Superiors gave most of the weight to the financial measures, against what Kaplan and Norton intended.

01	**The weight drifts to money**	Superiors added factors that were not on the card, ignored some that were, and changed the criteria from one period to the next.
02	**Shared measures crowd out the rest**	In an experiment with MBA students, evaluators judged two units by the measures they had in common and set aside the measures unique to each unit's strategy.
03	**The arrows may not hold**	Hanne Nørreklit questioned the cause-and-effect links between the four perspectives; between some of them, she argued, the link is not causal.

HYPOTHETICAL EXAMPLE, TWO WAREHOUSES

Shared measure	Cost per order: A €2.10, B €2.30
Own measures	A: next-day orders on time 97% · B: hospital orders on time 99.6%

Read only the shared line and B looks worse, although B was asked to do something harder. These numbers are invented.

OUR READING

A scorecard drifts out of balance on its own. Someone has to stand up for the measures that are harder to count.

Sources: Christopher D. Ittner et al., The Accounting Review, 2003 (via Abstract at Crossref); Marlys G. Lipe & Steven E. Salterio, The Accounting Review, 2000 (via Abstract and summaries); Hanne Nørreklit, Management Accounting Research, 2000 (via Secondary summaries)

The example is the editors'.

HOW IT IS MEASURED

Five questions for a scorecard

A scorecard can be checked like any other measurement: five questions, once a quarter, with the people who report on it.

1. **Which objective does each measure serve?**
   A measure that serves no objective belongs in a report.
2. **Does the cause move before the result?**
   Check each arrow against several months of your own data.
3. **How much weight did money get?**
   Look at the latest decisions and reviews rather than the plan.
4. **Are the unique measures read?**
   One sentence on each before units are compared.
5. **What would we drop?**
   A card that only grows has stopped being a choice.

HYPOTHETICAL EXAMPLE, CHECKING ONE ARROW

Training	Done by March: 100%
Errors	Picking errors, April to June: no change

The training is done but has not reached the errors, so look next at how the scanners are set up. The figures are invented.

Questions and example: the editors.

TOOL OF THE ISSUE

The one-page scorecard

One page for one team: one or two objectives per perspective, each with a measure and a target, and one line for the arrow you are betting on.

01 Financial objective · measure · target

02 Customer objective · measure · target

03 Internal processes objective · measure · target

04 Learning and growth objective · measure · target

05 The arrow we are betting on if we do this, that moves within ... months

06 Review date, who reads it, what we drop if nothing moves

Source: Robert S. Kaplan & David P. Norton, Harvard Business Review, 2000

A practice the editors propose, built on Kaplan and Norton's four perspectives and strategy map.

Open the tool: KPI Diagnostic stivencatalyst.com/tools/kpi-diagnostic/

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

Conceptual Foundations of the Balanced Scorecard
Robert S. Kaplan, Harvard Business School, 2010
https://ideas.repec.org/p/hbs/wpaper/10-074.html

The Balanced Scorecard: Measures That Drive Performance
Robert S. Kaplan & David P. Norton, Harvard Business Review, 1992

Management Tools and Trends 2007
Darrell Rigby & Barbara Bilodeau, Bain & Company, 2007
https://www.bain.cn/pdfs/20090615035621758 6.pdf

An investigation of the effect of Balanced Scorecard implementation on financial performance
S. Davis & T. Albright, Management Accounting Research, 2004 · via Abstract and summaries
https://doi.org/10.1016/j.mar.2003.11.001

Thirty years with the balanced scorecard: What we have learned
Alex Tawse & Pooya Tabesh, Business Horizons, 2023 · via Abstract at RePEc
https://doi.org/10.1016/j.bushor.2022.03.005

Having Trouble with Your Strategy? Then Map It
Robert S. Kaplan & David P. Norton, Harvard Business Review, 2000
https://hbr.org/2000/09/having-trouble-with-your-strategy-then-map-it

Subjectivity and the weighting of performance measures: Evidence from a balanced scorecard
Christopher D. Ittner et al., The Accounting Review, 2003 · via Abstract at Crossref

The balanced scorecard: Judgmental effects of common and unique performance measures
Marlys G. Lipe & Steven E. Salterio, The Accounting Review, 2000 · via Abstract and summaries

The balance on the balanced scorecard: a critical analysis of some of its assumptions
Hanne Nørreklit, Management Accounting Research, 2000 · via Secondary summaries
https://doi.org/10.1006/mare.1999.0121

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

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Every issue, one management question, checked against the best research.

ALL ISSUES

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Management Review · No. 17 · October 2026 · Stiven Catalyst